

INSTRUCTIONS

DECENTRALIZATION TREATMENT; SET-UP 1

Thanks for coming to the experiment. You will receive 5 euros for participation in the experiment. Also, you will earn additional money during the experiment.

Participants have been randomly assigned to one of three roles: F, C and A. This role will be the same throughout the experiment.

There will be 18 separate periods. We will now present the instructions for the first block of nine periods. Later you will receive further instructions. In each period, you will be in a group of three participants, one in each role. The composition of each group is randomly determined at the beginning of the 9 periods and stays constant during the 9 periods. During the 9 periods you will be with the same two other persons. Also, at no time will you know the identity of who you are matched with.

Each period is independent from the others and develops in the following way. At the beginning of the period, the computer will randomly determine which of the following five games will be played.

In each of the cells the first number shown **in yellow** is the payoff that the person in the F role will receive, the second number shown **in green** is the payoff that the person in the C role will receive and the third number shown **in red** is the payoff for the person in the A role. As you can see all five games have five rows: f1, f2, f3, f4 and f5, and five columns; c1, c2, c3, c4 and c5. Observe also that the numbers in the different cells differ between the games.

Game 1

	c1	c2	c3	c4	c5
f1	26, 54, 80	12, 29, 41	-2, 4, 2	-16, -21, -37	-30, -46, -76
f2	15, 40, 55	29, 43, 72	15, 18, 33	1, -7, -6	-13, -32, -45
f3	4, 26, 30	18, 29, 47	32, 32, 64	18, 7, 25	4, -18, -14
f4	-7, 12, 5	7, 15, 22	21, 18, 39	35, 21, 56	21, -4, 17
f5	-18, -2, -20	-4, 1, -3	10, 4, 14	24, 7, 31	38, 10, 48

Game 2

	c1	c2	c3	c4	c5
f1	22, 50, 72	8, 33, 41	-6, 8, 2	-20, -17, -37	-34, -42, -76
f2	19, 36, 55	33, 47, 80	19, 22, 41	5, -3, 2	-9, -28, -37
f3	8, 22, 30	22, 33, 55	36, 36, 72	22, 11, 33	8, -14, -6
f4	-3, 8, 5	11, 19, 30	25, 22, 47	39, 25, 64	25, 0, 25
f5	-14, -6, -20	0, 5, 5	14, 8, 22	28, 11, 39	42, 14, 56

Game 3

	c1	c2	c3	c4	c5
f1	18, 46, 64	4, 29, 33	-10, 12, 2	-24, -13, -37	-38, -38, -76
f2	15, 32, 47	29, 43, 72	15, 26, 41	1, 1, 2	-13, -24, -37
f3	12, 18, 30	26, 29, 55	40, 40, 80	26, 15, 41	12, -10, 2
f4	1, 4, 5	15, 15, 30	29, 26, 55	43, 29, 72	29, 4, 33
f5	-10, -10, -20	4, 1, 5	18, 12, 30	32, 15, 47	46, 18, 64

Game 4

	c1	c2	c3	c4	c5
f1	14, 42, 56	0, 25, 25	-14, 8, -6	-28, -9, -37	-42, -34, -76
f2	11, 28, 39	25, 39, 64	11, 22, 33	-3, 5, 2	-17, -20, -37
f3	8, 14, 22	22, 25, 47	36, 36, 72	22, 19, 41	8, -6, 2
f4	5, 0, 5	19, 11, 30	33, 22, 55	47, 33, 80	33, 8, 41
f5	-6, -14, -20	8, -7, 5	22, 8, 30	36, 19, 55	50, 22, 72

Game 5

	c1	c2	c3	c4	c5
f1	10, 38, 48	-4, 21, 17	-18, 4, -14	-32, -13, -45	-46, -30, -76
f2	7, 24, 31	21, 35, 56	7, 18, 25	-7, 1, -6	-21, -16, -37
f3	4, 10, 14	18, 21, 39	32, 32, 64	18, 15, 33	4, -2, 2
f4	1, -4, -3	15, 7, 22	29, 18, 47	43, 29, 72	29, 12, 41
f5	-2, -18, -20	12, -7, 5	26, 4, 30	40, 15, 55	54, 26, 80

Each of the five games has the same chance of being chosen in each period separately. That is in each period, each of the games will be chosen with 20% probability. Player F and player C will be informed of which game has been chosen, but player A will not be informed of which game has been chosen.

Before making their decisions in each period the F and the C player will both have the opportunity to suggest a choice of a row and of a column to the other player. They will be able to do this three times in each period. After both players will have suggested choices of row and column a first time, both players will see the suggestion of the other player. Then they will be able to make suggestions a second time. This suggestion may or may not be different from the one made the first time. After both players will have made a suggestion a second time, both players will see the new suggestion of the other player. Then they will be able to make a suggestion a third time. This suggestion may or may not be different from the previous suggestions.

After having seen the third suggestion players F and player C will separately make decisions. The suggestions of the other player may or may not be followed. Player F will choose between f1, f2, f3, f4 and f5 and player C will choose between columns c1, c2, c3, c4 and c5. Player A will not make any decisions.

The payoffs of players F, C and A will be the ones in the cell determined by the row chosen by F and the column chosen by C for the game selected by the random draw. Remember that players F and C will make their decisions independently from each other.

After each period everybody will be informed about what row was chosen by F and what column was chosen by C sent and about which game was randomly selected.

After this, a new period will start which will develop in the same way until reaching period 9. Remember that the persons you play with will change from period to period.

Each ECU is worth 0,02 euros. At the end of the session you will receive 5 euros plus what you will have earned in all 18 rounds of the experiment.

You can ask questions at any time. If you have a question, please raise your hand and one of us will come to your place to answer it.